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Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**RESPONDENTS' OPPOSITION TO COMPLAINANT BED BATH & BEYOND INC.'S
MOTION FOR PARTIAL DECISION ON THE PLEADINGS**

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (“Respondents” or “OOCL”), by and through their undersigned counsel, respectfully submit this Memorandum in Opposition to Complainant Bed Bath & Beyond Inc.’s (“Complainant” or “BBBY”) Motion for Partial Decision on the Pleadings (the “Motion”).

PRELIMINARY STATEMENT

Complainant asks the Presiding Officer to grant extraordinary relief that would be unprecedented in Commission practice. Although the case is only in the discovery phase – with no evidentiary record yet developed and no party yet putting forward a case in chief – BBBY seeks to have the Presiding Officer prospectively bar Respondents from raising key legal defenses at the trial stage of this proceeding or taking discovery relevant to those defenses. In its Motion, BBBY would have the Presiding Officer rule in BBBY’s favor on key issues of jurisdiction and statutory construction based only on the unproven and thoroughly disputed allegations set out in BBBY’s Complaint.

Granting BBBY’s Motion would be inappropriate and erroneous. Doing so would deny Respondents and the Presiding Officer the opportunity to apply the jurisdictional threshold in 46 U.S.C. § 40502(f) and related caselaw to whatever evidentiary case BBBY ultimately musters, and

it would relieve Complainant of its burden to prove by a preponderance of the evidence that the Commission has jurisdiction over this proceeding. Granting the Motion also would effectively stretch the scope of Shipping Act sections 41102(c) and 41104(a)(2) and (10) in unprecedented ways to reach the facts of BBY's case, without any evidence or adjudication of what those facts actually are. Such a ruling would violate Respondents' due process rights, precluding OOCL from taking discovery on, or presenting or contesting evidence related to, the statutory defenses identified in its Answer. Based on the pleadings thus far submitted, construed in the light most favorable to the non-movant Respondents, there is simply no basis to bar Respondents from developing and asserting the defenses set forth in its Answer.

The only stated rationale Complainant presents for leapfrogging the evidentiary record and diving into the adjudication of its legal theories is that doing so would "conserve judicial resources and clarify the issues for all parties during discovery and trial." BBY references *MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd. & MSC Mediterranean Shipping Company SA*, FMC Dkt. No. 21-05, accusing MSC of "wasting more than a year of the Presiding Officer's time and driving up substantial legal expenses for the complainant in that action" – then BBY promptly does exactly what it derides MSC for. Rather than focusing on efficiently and expeditiously moving this matter through discovery, BBY has launched into convoluted motions practice regarding jurisdictional and merits defenses, to undercut Respondents' ability to take discovery and present arguments regarding the application of §§ 40502(f), 41102(c), 41104(a)(2) and (10) to this proceeding. BBY presumably is well aware that if its gambit succeeds and the Motion is granted, Respondents are entitled to an appeal pursuant to Rule 227(b), 46 CFR § 502.227, and that such a detour would delay progress towards trial on this dispute possibly a year or more. For these reasons and others set forth below, we respectfully request that Motion be denied without prejudice,

allowing the jurisdictional issues to be addressed in the briefing and trial phase of this proceeding, as is normally the case.

PROCEDURAL HISTORY

I. The FMC Action

A. The Complaint

On April 21, 2023, Complainant filed a Verified Complaint (“Complaint”) with the Federal Maritime Commission (the “FMC” or “Commission”) pursuant to 46 U.S.C. § 41301 seeking at least \$31.7 million in damages for alleged injuries to Complainant caused by Respondents’ alleged violations of the Shipping Act of 1984, as amended, 46 U.S.C. §§ 40101 et seq. (the “Shipping Act”).

In the Complaint, Complainant alleges Respondents violated the Shipping Act by: (i) failing to meet the minimum quantity commitments (“MQCs”) under the 2020¹ and 2021² service contracts between the parties (the “Service Contracts”) (*see* Complaint at ¶ 5); (ii) assessing demurrage and detention charges for delays outside of Complainant’s control, including congestion at ports, policies implemented by Respondents and other ocean carriers that interfered with the ordinary handling of ocean freight, bad weather delays, labor disputes, and quarantine/social distancing orders in terminals, depots, yards, and for vessel crew (*see* Complaint at ¶ 7); and (3) inducing Complainant to enter into premium-rate contracts. (*See* Complaint at ¶ 8).

¹ The 2020 Service Contract between Complainant and Respondents was effective as of July 1, 2020, and covered the period from July 1, 2020, through June 30, 2021. It was amended on seventeen occasions.

² The 2021 Service Contract between Complainant and Respondents was effective as of May 1, 2021, and covered the period from May 1, 2021, through April 30, 2022. It was amended on sixteen occasions.

B. The Answer with Affirmative Defenses

On May 22, 2023, Respondents filed their Answer to the Complaint refuting the allegations (the “Answer”). In the Answer, Respondents asserted five affirmative defenses. Respondents set three affirmative defenses (the “Affirmative Defenses”) to which Complainant’s Motion takes exception:

In the First Affirmative Defense, Respondents supplied a fulsome explanation why the Complaint fails to state a claim for which relief can be granted, including the following points, among others:

- Respondents’ service commitments required the tender and carriage of a certain quantity of TEUs by the end of each contract’s term.
- There were no monthly or quarterly carriage requirements, or guaranteed space per sailing in the contract.
- Complainant is asking the Commission to invent contract requirements that were not bargained for or agreed to between the parties.
- Respondents performed all the commitments as required by the service contracts, which were amended by mutual agreement before their expiration, and duly filed with the Commission.
- Contrary to Complainant’s argument that Respondents created artificial scarcity during the pandemic, during that period carriers faced:
 - unprecedented challenges arising from spiking demand,
 - record growth in U.S. imports,
 - global intermodal supply chain delays and congestion,
 - and shoreside COVID restrictions.

These factors caused:

- severe and protracted trans-Pacific vessel delays,
- which removed a significant proportion of functional capacity from the market,
- disrupted vessel schedules,
- and stretched to the limit every part of the inland intermodal supply chain.

Respondents took no action to drive up freight rates, nor did they create artificial scarcity. Rather, Respondents invested in providing new capacity and service options, and worked cooperatively with Complainant and other shippers to provide the highest levels of service quality under extraordinary circumstances.

In their Second Affirmative Defense, Respondents denied that the FMC possesses subject matter jurisdiction because Complainant alleges a breach or breaches of its service contract with Respondents. 46 U.S.C. § 40502(f) provides that the exclusive remedy for an alleged breach of a service contract (including any cause of action premised on the obligation to meet one's service contract commitments) is “an action in an appropriate court,” not the Commission. While Complainant argues that it has only alleged violations of the Shipping Act, the essence of the Complaint is that Respondents did not meet their service-contract requirements. Whether Complainant or Respondents are correct depends upon an analysis of a complete factual record, which does not yet exist, and a rigorous assessment of the governing legal standards, which has not yet occurred and cannot be made in the absence of a complete factual record.

In their Third Affirmative Defense, Respondents asserted that the Commission lacks authority to regulate the reasonableness of cargo-space accommodations, or any refusal thereof, for the period covered by the Complaint. Respondents explained the historical basis for this defense:

- While the Shipping Act, 1916 authorized the Commission to broadly regulate the reasonableness of cargo space accommodations, the Shipping Act of 1984 removed that authority regarding service contracts.
- In the Ocean Shipping Reform Act of 1998, Congress continued this deregulatory narrowing of FMC authority, clarifying that the Shipping Act bars unfair or unjustly discriminatory practices in the matter of cargo space accommodations (or other unfair or unjustly discriminatory methods) only when undertaken in connection with service per a tariff.

- Congress purposefully ended the Commission’s power to regulate the reasonableness of cargo space accommodations for service pursuant to a service contract, in favor of a deregulatory market-based approach.
- Congress only restored FMC authority to regulate space accommodations under service contracts in the Ocean Shipping Reform Act of 2022, enacted after the conduct at issue in the Complaint.
- The Commission cannot repurpose other provisions of the Shipping Act in novel and unintended ways, to reclaim regulatory powers that Congress specifically removed.

1. The Bankruptcy Action

Two days after filing the Complaint, on April 23, 2023, Complainant filed for Chapter 11 bankruptcy protection in the United States Bankruptcy Court for the District of New Jersey. *See* Docket 23-13359-VFP (the “Bankruptcy Petition”). In support of the Bankruptcy Petition, Complainant’s Chief Restructuring Officer and Chief Financial Officer Holly Etlin submitted a Declaration (the “Etlin Declaration”). *See* 23-13359-VFP at Doc. 10. The Etlin Declaration confirms Complainant expects “all Sales at the Closing Stores to be completed and the properties vacated by June 30, 2023” and intends to commence a full-scale wind-down of its businesses and liquidation of all its assets. *See* Etlin Declaration, 23-13359-VFP, Doc. 10 at ¶¶ 8-9; 81-82. The bankruptcy proceeding remains pending.

RELEVANT FACTUAL BACKGROUND

I. The 2020 and 2021 Service Contracts

Complainant and Respondents entered the Service Contracts within the meaning of 46 U.S.C. § 40102(21) for the 2020 and 2021 shipping years in which the parties agreed that Complainant would ship, and Respondents would carry, a certain MQC of twenty-foot equivalent units (“TEU”) by the end of each Service Contract’s term.

II. The Unprecedented Pandemic Disruptions

As documented by the Commission itself, during the pandemic carriers faced unprecedented challenges arising from spiking demand, record growth in U.S. imports, global intermodal supply chain delays and congestion, and shoreside COVID restrictions. These factors caused severe and protracted trans-Pacific vessel delays, which removed a significant proportion of functional capacity from the market, disrupted vessel schedules, and stretched to the limit every part of the inland intermodal supply chain. Respondents took no action to drive up freight rates, nor did they create artificial scarcity. Rather, Respondents invested in providing new capacity and service options, and worked cooperatively with Complainant and other shippers to provide the highest levels of service quality under extraordinary circumstances. (*See Answer's First Affirmative Defense*).

III. The Alleged Breach

In the Complaint, Complainant alleges Respondents violated various provisions of the Shipping Act by failing to meet service commitments in its contracts. (*See Complaint at ¶ 5*). Not so. As demand for trade surged during the pandemic, Respondents supplied as much container-carrying capacity as they could to meet the extraordinary demand for consumer goods and other trans-Pacific trade created by the pandemic, and to alleviate the shortage of capacity caused by widespread port closures in foreign origins and delays in berthing, loading and unloading vessels. Indeed, Respondents performed all the commitments as required by the Service Contracts, which were amended by mutual agreement before their expiration, and duly filed with the Commission.

While Respondents worked hard to meet customers' demands, Complainant on the other hand repeatedly and without explanation failed to manage its own supply chain, exacerbating the bottlenecks faced by other shippers and the ability of Respondents to reposition its containers to Asia to serve its customers' unprecedented demand for service.

STANDARD OF REVIEW

Whether the Presiding Officer may strike a respondent's affirmative defense is governed by the standards that apply under Federal Rules of Civil Procedure ("Rules") 12(c) and 12(f). No FMC decision exists that has struck a respondent's affirmative defense before a factual record has been developed before the Presiding Officer. The D.C. Circuit has not established a definitive set of rules governing this issue. Rules 12(c) and 12(f) provide in pertinent part as follows:

12(c) – "After the pleadings are closed – but early enough not to delay trial – a party may move for judgment on the pleadings."

12(f) – "The court may strike from a pleading an insufficient defense or any redundant, immaterial, impertinent or scandalous matter."

Appellate court decisions that have addressed this issue generally fall within two broad categories: ones that permit the affirmative defense if it provides "fair notice" of the defense, *see Simmons v. Navajo Cnty., Ariz.*, 609 F.3d 1011, 1023 (9th Cir. 2009), *overruled on other grounds recognized by Horton v. City of Santa Maria*, 915 F.3d 592, 599 (9th Cir. 2019); *Kohler v. Flava Enters', Inc.*, 779 F.3d 1016, 1019 (9th Cir. 2015); *Cagle v. James Street Group*, 400 F. App'x 348, 355 (10th Cir.2010) (quoting *Wisland v. Admiral Beverage Corp.*, 119 F.3d 733, 737 (8th Cir.1997); and ones that apply *Twombly*'s³ plausibility standard. *GEOMC Co. v. Calmare Therapeutics Inc.*, 918 F.3d 92, 98-99 (2d Cir. 2019) (case involved affirmative defenses added a year after Defendant filed its original answer).

As for the fair notice pleading standard, the Supreme Court has held it:

requires a reviewing court to construe the pleadings in the light most favorable to the nonmoving party and reject a sufficiency challenge to the pleading unless 'it is clear that no relief could be granted under any set of facts that could be proved consistent with the allegations.'"

Hishon v. King & Spalding, 467 U.S. 69, 73 (1984).

³ *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 127 S.Ct. 1955, 1966-68, 167 L.Ed.2d 929 (2007).

The Second Circuit has explained the *Twombly* plausibility standard as it pertains to affirmative defenses as follows:

the plausibility standard of *Twombly* applies to determining the sufficiency of all pleadings, including the pleading of an affirmative defense, but with recognition that, as the Supreme Court explained in *Iqbal*, applying the plausibility standard to any pleading is a “context-specific” task. 556 U.S. at 679, 129 S.Ct. 1937. . . .

The key aspect of the context relevant to the standard for pleading an affirmative defense is that an affirmative defense, rather than a complaint, is at issue. This is relevant to the degree of rigor appropriate for testing the pleading of an affirmative defense. The pleader of a complaint has the entire time of the relevant statute of limitations to gather facts necessary to satisfy the plausibility standard. By contrast, the pleader of an affirmative defense has only the 21-day interval to respond to an original complaint, *see* Fed. R. Civ. P. 12(a)(1)(A)(i), the 21-day interval to amend, without court permission, an answer that requires a responsive pleading, *see* Fed. R. Civ. P. 15(a)(1)(B), or the 14-day interval to file a required response to an amended pleading that makes a new claim, *see* Fed. R. Civ. P. 15(a)(3).¹⁰ That aspect of the context matters. In addition, the relevant context will be shaped by the nature of the affirmative defense. For example, the facts needed to plead a statute-of-limitations defense will usually be readily available; the facts needed to plead an ultra vires defense, for example, may not be readily known to the defendant, a circumstance warranting a relaxed application of the plausibility standard.

Whether the third of the *McCaskey* factors, prejudice, should be a basis for dismissing or opposing the addition of an otherwise valid affirmative defense will normally depend on when the defense is presented. A factually sufficient and legally valid defense should always be allowed if timely filed even if it will prejudice the plaintiff by expanding the scope of the litigation. A defendant with such a defense is entitled to a full opportunity to assert it and have it adjudicated before a plaintiff may impose liability. *See Lucente v. International Business Machines Corp.*, 310 F.3d 243, 260 (2d Cir. 2002). On the other hand, prejudice may be considered and, in some cases, may be determinative, where a defense is presented beyond the normal time limits of the Rules, especially at a late stage in the litigation, and challenged by a motion to dismiss or opposed by opposition to a Rule 15(a) motion. *See Anderson v. National Producing Co.*, 253 F.2d 834, 838 (2d Cir. 1958) (motion made on eighth day of trial to amend answer to add affirmative defense properly denied).

GEOMC Co., 918 F.3d at 98-99.

Even in the Second Circuit, “[a] motion to strike an affirmative defense under Rule 12(f), Fed.R.Civ.P. for legal insufficiency is not favored.” *William Z. Salcer, Panfeld, Edelman v. Envicon Equities Corp.*, 744 F.2d 935, 939 (2d Cir.1984), *vacated on other grounds*, 478 U.S. 1015, 106 S.Ct. 3324, 92 L.Ed.2d 731 (1986).

ARGUMENT

I. COMPLAINANT FAILS TO SATISFY THE STANDARD OF REVIEW REQUIREMENTS

As set forth in the Procedural History section above and in Exhibit 1, Respondents have satisfied the fair-notice pleading requirements because when construing the Affirmative Defenses in the light most favorable to Respondents relief can be granted under the set of facts set forth by Respondents. *Hishon v. King & Spalding*, 467 U.S. at 73.

As for the *Twombly* plausibility standard, applying that standard to Respondents’ affirmative defenses is a “context-specific” task. *GEOMC Co.*, 918 F.3d at 98-99. Here, there is no factual record upon which to evaluate whether the alleged Shipping Act violations are actually breach of contract claims in disguise, or whether the alleged cargo-space allocations were made pursuant to a tariff or pursuant to the parties’ dealings, or whether Respondents actions were taken to respond to or take advantage of the extraordinary circumstances created by the pandemic, or to what extent Complainants’ financial and supply-chain problems contributed to the container carriage issues alleged.

Respondents submitted timely, factually sufficient and legally valid defenses. As the Second Circuit notes:

[a] factually sufficient and legally valid defense should always be allowed if timely filed even if it will prejudice the plaintiff by expanding the scope of the litigation. A defendant with such a defense is entitled to a full opportunity to assert it and have it adjudicated before a plaintiff may impose liability.

See GEOMC Co., 918 F.3d at 98-99, *citing Lucente v. International Business Machines Corp.*, 310 F.3d 243, 260 (2d Cir. 2002). Further, in the Motion, Complainant failed to mention let alone allege any prejudice. *See GEOMC Co.*, 918 F.3d at 98-99. Respondents have satisfied their obligations under the *Twombly* plausibility standard, and Complainant has not met its burden under that standard.

For the foregoing reasons, the Presiding Officer should deny Complainants' Motion.

II. STRIKING RESPONDENTS' DEFENSES PRE-TRIAL IS INCONSISTENT WITH APA AND DUE PROCESS REQUIREMENTS

As in all FMC proceedings, Complainant bears the burden to prove its allegations against Respondents, including its contention that the case falls within the Commission's jurisdiction. "In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order." 46 C.F.R. § 502.203. The term "burden of proof" is understood to mean "the burden of persuasion." *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party bearing the burden of persuasion must prove its case by a preponderance of the evidence. *See Steadman v. SEC*, 450 U.S. 91, 102 (1981). While artful pleading and untested allegations may provide a sufficient basis for a complaint to overcome a motion to dismiss, no such motion is pending in this proceeding. Rather, Complainants in their Motion aim to avoid their burden of proof altogether, prevailing on key issues simply on the basis of their Complaint. That outcome would be inconsistent with the APA.

Because granting the Motion would preclude Respondents from raising key defenses, it also would impinge on their Due Process rights. The Commission has explained how those rights relate to the adjudication of dispositive motions:

In the administrative context, the Commission has stated that a "[r]espondent is, of course, entitled to a fair hearing. But that concept means only

that the party must have an opportunity to meet such facts which adversely affect its interests.” Citing an authority on administrative law (Professor Davis), the Commission proceeded to state that the “cardinal principle of fair hearing is ... that the parties should have opportunity to meet in the appropriate fashion all facts that influence the disposition of the case.” Imposition of Surcharge by the Far East Conference, 9 F.M.C. 129, 140 (1965). See also *Cellular Mobile Systems of Pa. v. F.C.C.*, 782 F.2d 182, 196 (D.C. Cir. 1985) (parties must have fair notice and adequate opportunity to present their cases); *L.G. Balfour v. F.T.C.*, 442 F.2d 1, 19 (7th Cir. 1971) (respondent must have a reasonable opportunity to know the claims against him and meet them as the case unfolds).

Docket No. 98-08, Kin Bridge Express Inc. and Kin Bridge Express (U.S.A.) Inc. - possible Violations of Sections 8, 10(a)(1), 10(b)(1) and 23 of the Shipping Act of 1984, 1998 WL 940851, citing *International Freight Forwarders and Custom Brokers Ass'n of New Orleans v. LASSA*, 27 S.R.R. 392, 393-396 (ALJ 1995). Granting the Motion would preclude Respondents from presenting critical exculpatory evidence and arguments in their defense, regardless of how the case unfolds, fundamentally impairing their ability to meet whatever facts BBY puts forward in its case in chief.

Even putting aside APA and constitutional requirements, there are sound prudential reasons why a dispositive motion on these key legal issues should be denied, including ensuring fairness for Respondents and ensuring a complete and fulsome trial record of all relevant issues when this proceeding moves forward to the Commission and court of appeals. See, e.g., *Agreement No. T-3880, as Amended, Pouch Terminal, Inc.*, 14 S.R.R. 1567 (1975) (vacating a ruling of a presiding judge that had found in favor of Commission jurisdiction when parties had not yet had an opportunity to develop an adequate evidentiary record). The Presiding Officer in another proceeding recently explained: “Even if summary judgment is technically proper, sound judicial policy and the proper exercise of judicial discretion permit denial of such a motion for the case to be developed fully at trial.” *OJ Commerce, LLC v. Hamburg Sud*, 2022 WL 19299188, at *120 (ALJ 2022). Accord *Yakov Kobel v. Hapag-Lloyd A.G.*, 2011 WL 7144010, at *2 (ALJ 2011).

III. CONGRESS IN 1998 SHARPLY CURTAILED FMC AUTHORITY TO REGULATE SERVICE CONTRACT TERMS AND PERFORMANCE

In its Complaint and Motion, BBY maintains that sections 41102(c), 41104(a)(2) and (10) (as in effect prior to the enactment of the Ocean Shipping Reform Act of 2022) provide the Commission with broad authority to regulate the reasonableness of service-contract terms, conditions and performance, including vessel-space allocations, for service provided pursuant to a service contract. Granting the Motion and embracing this approach would represent a novel and dramatic reimagining of these statutory provisions to “discover” expansive and transformative new regulatory powers in statutory text 25-years old or more. Such a reinterpretation of these statutory provisions would be inconsistent with both statutory text itself, the context and intent behind the Ocean Shipping Reform Act of 1998 (Pub. L. No. 105-258), (OSRA 1998), and FMC precedents and policies applying OSRA 1998 over the past quarter century. In OSRA 1998, Congress purposefully effected an extensive deregulation of carrier services that are provided pursuant to service contracts, leaving the Commission with only narrow and specifically delineated powers over shipping lines’ contract services.

The Third Affirmative Defense simply places Complainant on notice that the ambitious new interpretations it seeks to apply to sections 41102(c), 41104(a)(2) and (10) exceed the scope of those statutes, and thus Respondents can be expected to contend that the Commission lacks the authority to afford BBY whatever relief it ultimately seeks when it presents its case in chief. Complainant’s invitation to extensively reinterpret the 1998-2022 version of the Shipping Act – in effect, to pour new wine from old bottles – is exactly the sort of regulatory overreach that the Supreme Court has rejected and curtailed in its recent administrative law jurisprudence. Accordingly, there is no lawful basis for granting the Motion and barring Respondents from exploring these core issues of statutory jurisdiction at trial.

To illustrate the constraints on the Commission’s authority in this area, it is instructive to examine the changes to the Shipping Act made by OSRA 1998. Before 1998, the Shipping Act of 1984 included provisions – particularly the former section 10(b)(10-12) – that broadly barred all carriers’ unjustly discriminatory rates, undue or unreasonable preference or advantage or undue or unreasonable prejudice or disadvantage, including in connection with service contracts. For example, section 10(b), pre-1998, used to state: “Common carriers. No common carrier, either alone or in conjunction with any other person, directly or indirectly, may. . . (12) subject any particular person, locality, or description of traffic to an unreasonable refusal to deal or any undue or unreasonable prejudice or disadvantage in any respect whatsoever.”

This robust authority to bar unreasonable service contract terms and practices was eliminated from the Shipping Act in 1998. Ocean bifurcated the reasonableness and anti-discrimination prohibitions into separate subsections for tariff service (with very broad prohibitions) on the one hand, and service-contract service (with very narrow prohibitions reaching only port-, locality-, and “status”-based discrimination) on the other. The textual changes in the relevant sections of the law are set out at Figure 1, below.

FIGURE 1: How Did OSRA Change the Section 10(b) “Prohibited Acts”?

Section 10. Prohibited acts

* * *

(b) Common carriers. No common carrier, either alone or in conjunction with any other person, directly or indirectly, may—

* * *

~~(3)(5)~~ retaliate against any shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason;

~~(4)(6) except for service contracts,~~ for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of--

(A) rates or charges;

(B) cargo classifications;

(C) cargo space accommodations or other facilities, due regard being had for the proper loading of the vessel and the available tonnage;

(D) the loading and landing of freight; or

(E) the adjustment and settlement of claims;

(5) for service pursuant to a service contract, engage in any unjustly discriminatory practice in the matter of rates or charges with respect to any port;

(6)(7) employ a fighting ship; use a vessel or vessels in a particular trade for the purpose of excluding, preventing, or reducing competition, by driving another ocean common carrier out of that trade;

~~(7)(8)~~ offer or pay any deferred rebates;

~~(9) use a loyalty contract, except in conformity with the antitrust laws;~~

~~(10) demand, charge, or collect any rate or charge that is unjustly discriminatory between shippers or ports;~~

~~(11) except for service contracts, make or give any undue or unreasonable preference or advantage to any particular person, locality, or description of traffic in any respect whatsoever;~~

~~(12) subject any particular person, locality, or description of traffic to an unreasonable refusal to deal or any undue or unreasonable prejudice or disadvantage in any respect whatsoever;~~

~~(13) refuse to negotiate with a shippers' association;~~

(8) for service pursuant to a tariff, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage;

(9) for service pursuant to a service contract, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port;

(10) unreasonably refuse to deal or negotiate;

* * *

Under OSRA 1998, the Commission's authority to regulate service contracting was specifically limited to three narrow prohibitions, none of which are at issue in this case: (1) status-based discrimination against ocean transportation intermediaries; (2) unjust discrimination against ports; and (3) undue prejudice regarding localities. The post-OSRA 1998 Shipping Act provides no provision on which BBY can construct a claim of unreasonable practices with regard to its individual service contract terms and performance.

The Senate Report that accompanied OSRA 1998 explains how application of the Prohibited Acts to service contract carriage was purposefully limited:

New sections 10(b)(5) and (9) substantially increase the discretion given to common carriers to provide different service contract terms to similarly situated shippers. In addition to eliminating the current requirement in section 8(c) of the 1984 Act that ocean common carriers provide the same service contract terms to similarly situated shippers, the bill narrows the application of the prohibited acts with respect to service pursuant to common carrier service contracts. Sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, would restrict common carrier service contracting flexibility in only three, narrow, ways.

First, sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, would protect localities from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts. . . . Second, the amendments made by this section would retain similar protections for ports from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts as currently exist under the 1984 Act through references to ports and localities. Third, the amendments made by this section would protect shippers and ocean transportation intermediaries from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts due to their status as shippers' associations or ocean transportation intermediaries.

S. Rep. 105-61 (1997) (emphasis added). It is clear from this legislative history that Congress sharply limited the Commission's authority to regulate service contracts and did not authorize or expect the Commission to recreate new causes of action under the Shipping Act *sua sponte* to re-regulate and adjudicate alleged unreasonable individual service contract terms or practices.

At the time OSRA 1998 was under consideration, the Commission clearly understood that OSRA 1998's legislative changes would expressly "authorize carriers . . . to discriminate in unjust or unreasonable ways in their contracting" – and, in fact, the Commission suggested that Congress reconsider. In March 1997, then-Chairman Harold Creel testified before the Subcommittee on Surface Transportation and Merchant Marine of the Senate Committee on Commerce, Science, and Transportation:

Section 10(b)(9) would also allow carriers and conferences to subject shippers, forwarders, ports and others to "undue or unreasonable prejudice or disadvantage." These prohibited acts formerly applied to all service contracts. Under the bill they apply to none.

While I appreciate that service contracts are inherently "discriminatory" in that the signatories get better deals than non-signatories, these prohibited acts proscribe unjust discrimination and unreasonable prejudice. There is no reason to authorize carriers and conferences to discriminate in unjust or unreasonable ways in their contracting. For example, a foreign carrier should not discriminate against a U.S. shipper in order to promote a fellow national. Nor should ports be lawfully subjected to unduly, unreasonably prejudicial preferences. I would therefore urge that Congress carefully consider whether carte blanche authority for carriers and conferences to unjustly and unreasonably disadvantage shippers, ports and forwarders is truly in the best interest of the United States.

Remarks of Commissioner Harold J. Creel Jr., March 20, 1997.⁴ The Senate Committee did accept some of the Commission's suggestions (*i.e.*, to restore reasonableness protections to protect ports, and to regulate multi-carrier contracts) in the final OSRA 1998 bill (S. 414). However, the Senate largely held firm to its deregulatory objectives, and thus did not restore the Commission's power to regulate the reasonableness of individual service contracts and service pursuant thereto.

On April 21, 1998, lead OSRA 1998 sponsor Senator Kay Bailey Hutchison took to the Senate floor and laid out how and why OSRA 1998 changed the regulatory scheme, allowing carriers more market flexibility and eliminating prohibitions on discriminatory treatment of

⁴ S.Hrg 105-57, S. 414, *the Ocean Shipping Reform Act of 1997*, p. 45.

shippers and ocean transportation intermediaries in individual service contracts. Senator Hutchison stated:

Mr. President, for the record, I now want to explain some of the key provisions of S. 414.

The most significant benefit of S. 414 is that it will provide shippers and common carriers with greater choice and flexibility in entering into contractual relationships for ocean transportation and intermodal services. It accomplishes this through seven specific changes to the Shipping Act of 1984. It allows multiple shippers to be parties to the same service contract. It allows service contracts to specify either a percentage or quantity of the shipper's cargo subject to the service contract. It prohibits multiple-ocean common carrier cartels from restricting cartel members from contracting with shippers of their choice independent of the cartel. It allows service contract origin and destination geographic areas, rates, service commitments, and liquidated damages to remain confidential. **It eliminates the requirement that similarly situated shippers be given the same service contract rates and service conditions. It eliminates the current restrictions on individual common carriers engaging in discriminatory, preferential, or advantageous treatment of shippers and ocean transportation intermediaries in service contracts** (while retaining those restrictions for groups of common carriers and strengthening prohibitions against refusals to deal or negotiate by individual common carriers). It allows groups of ocean common carriers to jointly negotiate inland transportation rates, subject to the antitrust laws and consistent with the purposes of the 1984 Act.

144 Cong. Rec. S3306, Ocean Shipping Reform Act of 1997 (emphasis added).

BBBY's efforts to imaginatively reinterpret the 1998-2022 version of the Shipping Act to regulate service-contract rates, terms and performance are fatally inconsistent with clear statutory limitations on FMC power imposed by Congress and should be rejected at the hearing stage of this proceeding. *See Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 33 S.R.R. 512 (I.D. Granting Motion to Dismiss 2014), in which the Presiding Officer dismissed a complaint in for lack of jurisdiction in part and failure to state a claim for alleged unreasonable and discriminatory service-contract practices, alleged refusal to deal and failure to conform to an alleged contractual course of dealing.

The alleged Shipping Act violations in this case occurred before Congress restored the FMC's authority to regulate cargo-space accommodations under service contracts in the Ocean Shipping Reform Act of 2022. Consequently, for claims accruing prior to June 16, 2022, the FMC is bound by the deregulatory legislative scheme set out in OSRA 1998 and must decide the case within those strictures. Accordingly, Respondent's Third Affirmative Defense is timely, factually supported, and legally germane to the claims asserted by Complainant. The Presiding Officer should deny the relief requested in Complainant's Motion as to this defense.

Any other outcome by the Commission would invite a reversal by a court of appeals. Over the past two years, the federal judiciary, and in particular the Supreme Court, has reaffirmed and strengthened the "major questions doctrine," which further curtails deference for agencies that seek to reinterpret statutory authorities to afford themselves expansive new regulatory powers. The Supreme Court recently reaffirmed its major questions doctrine in *Biden v. Nebraska*, 600 U.S. -- --, 143 S.Ct. 2355, 2374, 2023 WL 4277209 (June 30, 2023), which the Court announced in *West Virginia v. EPA*, 142 S.Ct. 2587, 2609, 213 L.Ed.2d 896 (2022), stating:

[i]n certain extraordinary cases, both separation of powers principles and a practical understanding of legislative intent make us "reluctant to read into ambiguous statutory text" the delegation claimed to be lurking there. *Utility Air*, 573 U.S. at 324, 134 S.Ct. 2427. To convince us otherwise, something more than a merely plausible contextual basis for the agency action is necessary. The agency instead must point to "clear congressional authorization" for the power it claims. *Ibid*.

The Court noted that the doctrine addresses "a particular and recurring problem: agencies asserting highly consequential power beyond what Congress could reasonably understood to have been granted." *Id*.

IV. RESPONDENTS ARE ENTITLED TO ASSERT THE DEFENSE THAT § 40502(f) FORECLOSES FMC JURISDICTION AND THUS § 41104(a)(2) DOES NOT APPLY TO COMPLAINANT’S CLAIMS

BBBY’s assertion that it is entitled to judgment as a matter of law with regard to the Second Affirmative Defense concerning the application of 46 U.S.C. § 40502(f) relies on flawed reasoning and a conspicuous avoidance of the controlling Commission caselaw. Section 40502(f) states: “Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” Commission precedent makes clear that the jurisdictional limitation in this section cannot be avoided through a simple relabeling of claims for contract nonperformance as Shipping Act violations, or by insertion of magic words (e.g., “*systematically*”) in a pleading. Rather, the ultimate decision as to whether § 40502(f) applies must be based on an analysis of the specific facts as proven in the proceeding at issue. Such facts are unknown and unknowable at this stage of the proceeding; thus, rendering judgment as a matter of law in response to the Motion would be improper.

Count III of the Complaint alleges Respondents violated 46 U.S.C. § 41104(a)(2). That section of the Shipping Act (46 U.S.C. § 41104(a)(2), known prior to codification as Section 10(b)(2) of the Shipping Act of 1984) prohibits an ocean common carrier from providing service in the liner trade that is “not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under . . . this title.” On its face, the prohibition against deviating from service contract terms sounds akin to a breach of contract, and as discussed below, the Commission has held them to be one and the same, but it has provided a framework for determining when the agency’s jurisdiction is foreclosed.

In crafting the prohibition in § 41104(a)(2), Congress expressly determined that, when it came to service contracts, as opposed to tariffs, the *courts*, rather than the FMC, should have

jurisdiction over claims that a carrier failed to adhere to its contract or failed to perform thereunder. To that end, 46 U.S.C. § 40502(f) (known prior to codification as Section 8(c) of the Shipping Act) explicitly states: “Unless the parties agree otherwise, the ***exclusive remedy*** for a breach of a service contract is an action in an appropriate court.” (Emphasis added). This language originated in the Shipping Act of 1984 and was reaffirmed in OSRA 1998 (“[t]he bill would ***retain*** the 1984 Act provision providing that the exclusive remedy for a breach of a service contract is an appropriate court, ***not the FMC.***”) S. Rep. 61, 105th Cong., 1st Sess., p. 23 (1997) (emphasis added). This section, by its plain language, specifically deprives the Commission of jurisdiction to hear claims in the nature of breach of contract claims, such as failure to provide service in accordance with a service contract.

The Commission’s case law recognizes this plain and clear congressional determination that claims in the nature of breach of contract, ***explicitly including claims under 46 U.S.C. § 41104(a)(2)***, may ***not*** be heard by the FMC. In the leading case, *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 2000 WL 1648961, at *14 (FMC 2000) (emphasis added), for example, the Commission stated:

“We find that as a general matter, ***allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim.*** In contrast, whether the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.”

Further, the Commission made clear in *Cargo One* that, absent very unusual circumstances, any claim that a carrier violated 46 U.S.C. § 41104(a)(2) ***is the equivalent of a breach of contract claim*** and so must be dismissed. There, the Commission mandated that jurisdiction be determined on a claim-by-claim, statutory section-by-section, basis. And to help Administrative Law Judges sort through the various claims that could or could not be heard before the FMC, the Commission

created two categories – claims that would be presumptively within the jurisdiction of the FMC and those that would be presumptively outside its jurisdiction. As to the first category, the Commission specifically said that claims based on discrimination, preference or prejudice, or unreasonable practices would, as a general rule, be “appropriately brought before the Commission” because they rely on matters specific to the Shipping Act. But as directly relevant here, the Commission also stated that claims under 46 U.S.C. § 41104(a)(2) (then Section 10(b)(2)) were “*substantially contract claims*,” and so should be dismissed, explaining that claims under § 41104(a)(2):

are premised on the obligation to meet one’s contract commitments and *are therefore essentially breach of contract actions* which Section 8(c) renders not properly before the Commission in the absence of evidence offered by the complainant . . . that some *extraordinary* aspects of the allegation *distinguish it substantially* from a contract claim.

2000 WL 1648961, at *15.⁵

The Commission’s language here, which Complainant does not address, is clear and unmistakable – 46 U.S.C. § 40502(f) precludes the FMC from addressing claims under § 41104(a)(2), except in rare circumstances, where Complainant adduces evidence of “extraordinary aspects” of its case that “distinguish it substantially from a contract claim.” BBY has not even asserted, much less proven, any such extraordinary difference from a contract case. Even if it asserted such a claim, which would be a matter best resolved after discovery and briefing, as the Commission has suggested.⁶

⁵ This distinction between claims under § 41104(a)(2), which are essentially breach of contract claims, and those that implicate the special jurisdiction of the FMC was reaffirmed in *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 998 (FMC 2006), where the Commission stated: “[o]n remand, we direct the ALJ to address only those allegations involving Shipping Act violations, and any disputes previously addressed by the Arbitrator that are based upon common law breach of contract claims shall remain binding upon the parties.”

⁶ The benefit of a full record was identified by the Commission in both quotations above from *Cargo One*: (i) certain claims (other than § 41104(a)(2)) are presumed within the FMC’s jurisdiction “unless the facts *as proven* do not support such a claim”; and (ii) claims under § 41104(a)(2) are outside the Commission’s purview “in the absence of

Although BBY glancingly cites *Cargo One*, it ignores the critical language quoted above, which demonstrates that some Shipping Act claims, expressly including most claims under. § 41104(a)(2), are, as a matter of law, outside the jurisdiction of the FMC.⁷ It similarly disregards the following Commission explanation in *Cargo One*:

“For [46 U.S.C. § 40502(f)] to have meaning, it must have been intended to preclude the filing of *some complaints of Shipping Act violations*, and *not just breach of contract claims*, as such claims would not be actionable before the Commission in any event.”

2000 WL 1648961, at *14 (emphasis added).

Thus *Cargo One* squarely recognizes: (i) that “some complaints of Shipping Act violations” must be precluded by § 40502(f), and (ii) that the category of claims precluded by 46 U.S.C. § 40502(f) includes claims under 46 U.S.C. § 41104(a)(2), except perhaps in rare circumstances that BBY has not argued are present here. What this plainly means is that a would-be complainant such as BBY may not confer jurisdiction on the FMC merely by saying “46 U.S.C. § 41104(a)(2),” instead of “breach of contract.” Any other interpretation of 46 U.S.C. § 40502(f) would, as the Commission identified in *Cargo One*, render 46 U.S.C. § 40502(f) utterly meaningless.⁸

Other FMC ALJs, again unmentioned by BBY, have recognized that this aspect of *Cargo One* precludes adjudication of claims under § 41104(a)(2). Judge Dolan so held in the remand of

evidence offered by the complainant . . . that some extraordinary aspects of the allegation distinguish it substantially from a breach claim.” 2000 WL 1648961, at *14-15.

⁷ Complainant’s failure to recognize and discuss the critical language in *Cargo One*, a case it cites and so presumably read, is at best a dubious litigation tactic.

⁸ As the Commission explained in *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213, 1220 (FMC 1990):

“Courts have made it clear that federal agencies must give effect to every word of as statute so that no part will be rendered inoperative, superfluous, void or insignificant.”

See, e.g., *National Association of Recycling Industries, Inc. v. ICC*, 660 F.2d 795, 799 (D.C. Cir. 1981); *In re Surface Mining Regulation Litigation*, 627 F.2d 1346, 1362 (D.C. Cir. 1980).

Cargo One, stating that “it seems clear that the Commission intended that the ALJ dismiss the complaint herein as to [46 U.S.C. 41104(a)(2)].” 29 S.R.R. 620, 621 (ALJ, Admin. Final 2002). And in *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 33 S.R.R. 512 (I.D. Granting Motion to Dismiss 2014), Judge Guthridge likewise identified that certain of complainant’s claims, including: (i) that the respondent had failed to observe certain terms of the contract created by a course of dealing; (ii) that actions by the respondent made it impossible for complainant to book cargo, (iii) that the respondent failed to provide necessary administrative support; and (iv) that respondent failed to address *the MQC shortfall*, could **not** be heard before the FMC, because they were all “inherently contract claims reserved for the arbitrator and are not within the Commission’s jurisdiction to decide.” *Id.* at 528.

The Commission has recently re-affirmed breach of contract claims are outside its authority. As stated in its recent Supplemental Notice of Proposed Rulemaking (“SNPRM”) : “Although the Commission does have jurisdiction over 46 U.S.C. 41104(a) violations, breach of contract claims are not within the Commission’s jurisdiction.” *Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier*, 88 Fed Reg 38790, 38795 (June 14, 2023). The Commission went on to explain:

...service contracts are key to ocean carriage and the intent of the rule is not to dictate a return to carriage under tariff, nor is it intended to interfere with the substance of service contracts reached between parties. Presumably, an enforceable service contract would not allow for the type of conduct that the Commission would be likely to consider an unreasonable refusal to deal or negotiate, and ***if a service contract is materially breached, the parties have remedies that are beyond the Commission’s purview.***

Id. at 38797.

Having ignored *Cargo One* and related precedent, BBBY rests its argument largely on a broad contention that the law in favor is “well settled.” It relies in particular on recent initial

decisions in *OJ Commerce v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, FMC Dkt. No. 21-11, 2022 WL 538935 (A.L.J. Feb. 18, 2022), and *MCS Indus., Inc. v. COSCO Shipping Lines Co., Ltd. & MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 21-05, Initial Decision on Default (A.L.J. Jan. 13, 2023). However, neither of those cases analyzed or applied the analytical framework in *Cargo One*, and both of those cases are pending on exceptions before the Commission. Given that the Commission reviews initial decisions *de novo*, and that decisions under review are inoperative and cannot serve as precedent, those cited cases in no way can be said to represent “settled” law, or to have overturned *Cargo One*.⁹

Accordingly, it would be inappropriate to grant the Motion and rush to judgment on the merits of the defenses noticed in the Answer. A more prudent course would be to deny the Motion and direct the parties to press forward with discovery, while the Commission continues to consider the novel issues of statutory construction presented by the other pending cases currently before it.

V. BBY’s CLAIMS ARE OUTSIDE THE SCOPE OF 46 U.S.C. § 41102(c)

In challenging the First and Third Affirmative Defenses, Complainants seek to preempt any contentions that the facts of BBY’s claims are outside the scope of the Shipping Act provisions cited, despite the fact that the facts at issue are thus far unknown. However, there are decades of sound Commission precedent affirming that 46 U.S.C. § 41102(c) does not extend to the types of service contract performance disputes BBY alleges.

46 U.S.C. § 41102(c) (known prior to the codification of the Shipping Act as Section 10(d)(1) of the Shipping Act of 1984, and before that, as Section 17 of the Shipping Act, 1916)

⁹ When the Commission reviews an Initial Decision pursuant to 46 C.F.R. § 502.304(g), it has “all the powers which it would have in making the initial decision.” 46 C.F.R. § 502.227(a)(6). The Commission therefore reviews the findings *de novo*. See *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 12-02, 2015 WL 9426189, at *5 (FMC Dec. 18, 2015). See also 46 C.F.R. § 502.227(a)(5) (“Upon the filing of exceptions to, or review of, an initial decision, such decision shall become inoperative until the Commission determines the matter”).

applies by its terms only to disputes “relating to or connected with receiving, handling, storing, or delivering property.” BBY’s purported claim under 46 U.S.C. § 41102(c), however, does not involve “receiving, handling, storing, or delivering property,” as that term has always been defined by the Commission. Rather, its claim is that OOCL did not provide all of the space to which BBY was allegedly entitled under the Service Contract. The Commission, however, has uniformly considered the provision of space to be a “transportation” function, *not* “receiving, handling, storing, or delivering property.”¹⁰

This understanding by the Commission as to the difference between the transportation function and the function of receiving, handling, storing, or delivering property dates back to at least 1939 in the case precedents we have identified, and undoubtedly earlier still. In *Los Angeles By-Products Co. v. Barber S.S. Lines*, 2 U.S.M.C. 106, 113-14 (1939) (emphasis added), for example, the Commission explained that Section 17 of the Shipping Act 1916, second paragraph,¹¹ the predecessor to 46 U.S.C. § 41102(c),¹² “relates to *services performed at the terminal* as distinguished from the carrying or *transporting by the vessel*.” Subsequently, in *Bills of Lading - Incorporation of Freight Charges*, 3 U.S.M.C. 111, 113 (1949) (emphasis added), the Commission emphasized that 46 U.S.C. 41102(c) “is confined to the receiving, handling, storing, or delivering of property **to the exclusion of transportation** and rates, fares, and charges in connection

¹⁰ This does not, however, mean that the Commission is powerless to address issues relating to space accommodation by carriers going forward. The Shipping Act, as recently amended in part by the Ocean Shipping Reform Act of 2022, specifically authorizes the FMC to regulate, among other things: (i) unreasonable refusal of cargo space accommodations when available; (ii) for tariff service, any unfair or unjustly discriminatory practices in the matter of cargo space accommodations; and (iii) unreasonable refusals to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier. However, OSRA 2022’s cargo space allocation provisions do not apply retroactively to the claims at issue in this case, all of which occurred before OSRA 2022’s effective date.

¹¹ Section 17, second paragraph of the Shipping Act 1916 read in relevant part: “Every such carrier and every other person subject to this chapter shall establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing, or delivering of property.

¹² As a general rule, we will cite predecessor versions of the current Shipping Act by reference to their current codification.

therewith.” To like effect, in *Time Limit on the Filing of Over Charge Claims*, 10 F.M.C. 1, 7 (1966), the Commission stated categorically that 46 U.S.C. § 41102(c) “relates only to practices relating to or connected with the receiving handling storing or delivering of property and its application has thus been confined to forwarding and terminal operations.”¹³

In *D.I. Piazza Co. v. West Coast Line, Inc.*, 3 F.M.C. 608, 616 (1951) (emphasis added), the Commission expressly held that 46 U.S.C. § 41102(c) does not apply to matters relating to vessel space, holding that the vessel owner’s action of selling vessel space to other customers “was **not** a practice connected with the handling, storing or delivering of property.” Similarly, in *Beaumont Port Commission v. Seatrain*, 3 F.M.B. 556, 561 (1951) the Commission concluded that “respondent’s equalization practice [an addition to the freight rate] is not a regulation or practice connected with the receiving handling storing or delivering of property within the meaning of Section 17(2) of the Act.”¹⁴

Although the Commission’s interpretation of 46 U.S.C. § 41102(c) as applying only to terminal and forwarding practices originated under the 1916 Act, it has been imported untouched into the 1984 Act. This congruence was made explicit in *Definition of Package*, 23 S.R.R. 111, 114 (1985) (emphasis added), where the Commission stated:

“Section 17 of the 1916 Act and Section 10(d)(1) of the 1984 Act deal with ‘just and reasonable regulations and practices’ relating to the ‘receiving, handling, storing, or delivery of property’ Sections 17 and 10(d)(1) **do not** empower the Commission to address unjust or unreasonable carrier activity that **relates to the transportation of property**.”

¹³ See, e.g., *North River Insurance Co. v. Federal Commerce and Navigation Co., Ltd.*, 20 S.R.R. 1078, 1084 (ALJ 1981) (“Respondent correctly points out that the paragraph relied upon by complainants has expressly been limited to the operations of terminals and forwarders”).

¹⁴ See, e.g., *Heavy Lift Practices and Charges of Hapag-Lloyd*, 17 S.R.R. 505, 527-33 (ALJ), adopted 18 S.R.R. 1491 (1977); *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419-20 (ALJ 1962).

Likewise, in *ANERA and Its Members - Opting Out of Service Contracts*, 28 S.R.R. 1215, 1229 (FMC 1999), the Commission expressly declined to address an alleged violation of Section 10(d)(1), stating that the respondents had made a “forceful case that the practices at issue here – the service contract provisions stating line haul rates – do not come within that section's limitation to the functions of receiving, handling, storing, and delivering cargo.”

In sum, the Commission’s own interpretation of 46 U.S.C. § 41102(c) conclusively shows that this section of the Shipping Act does not endow the Commission with subject matter jurisdiction to adjudicate BBY’s claim that OOCL failed to provide BBY with vessel space.

Furthermore, as noted above, Congress in 1984 specifically removed from the FMC the authority to address claims that a carrier breached its service contract with a shipper. It would be an insult to congressional intent, precedent, and common sense to say that the Commission can evade that congressional mandate by entrepreneurially redeploying some other section of the Shipping Act.

Complainant does not mention any of these cases, much less affirmatively demonstrate that its claims under § 41102(c) are, despite those holdings, related to “receiving, handling, storing, or delivering property.” BBY’s failure to address the FMC’s long-term interpretation of § 41102(c), is fatal to its Motion, which therefore should be rejected without further consideration.

Although BBY does not address these critical cases, it does cite to two, recent decisions of the Presiding Officer. Neither of them serves to overrule or distinguish the Commission precedent discussed above.

First, BBY cites *MCS Indus., Inc. v. MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 21-05 (Initial Decision on Default, Jan. 13, 2023). That case does not apply for at least four reasons:

1. As BBY acknowledges, the *MCS* decision was decided on default, so not fully briefed and not suitable as precedent for why this proceeding should not be decided on a full record.
2. As BBY does *not* acknowledge, *MSC* has filed exceptions to the decision on default, and it is now pending before the Commission. As explained above, this case therefore cannot serve as operative precedent.
3. *MCS* does not mention the cases cited above, so cannot be taken either to overrule or distinguish them. We assume that is because the precedents were not adequately brought to the Presiding Officer's attention.
4. As noted above, it would be administratively unwise to depend on *MCS* and other mid-stream proceedings that currently are under review while those matters are pending before the Commission, and potentially judicial review. Should the Presiding Officer rule in BBY's favor, it would, as detailed above, go right to the Commission on exceptions, resulting in unnecessary cost, substantial delay and potentially a need to redo discovery.

The only other case BBY cites – *OJ Commerce v. Hamburg Süd*, 2022 WL 538935 (ALJ 2022) – is equally unavailing, for similar reasons. As with *MCS*, the opinion in *OJ Commerce* does not address either the cases cited above or the long-term Commission interpretation that they reflect.

VI. BBY's CLAIMS ARE OUTSIDE THE SCOPE OF 46 U.S.C. § 41104(a)(10)

BBY's Count IV asserts a claim under 46 U.S.C. § 41104(a)(10), alleging that OOCL unreasonably refused to deal or negotiate with Complainant by "systematically failing to meet its service commitments to Complainant, failing to provide contracted space to Complainant without PSS or premium rates, and [engaging in] the acts or omissions of Respondent that led to the assessment of the Charges"

However, Respondents are entitled to assert the defense that the allegations underlying this count, even if true (and they certainly are not), fall well outside the test set out by the Commission for claims for refusal to deal under § 41104(10) and the two-prong test in *Canaveral Port Auth. – Possible Violations of Sec. 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, 29 S.R.R. 1436 (2003). Section 41104(10) requires that carriers (1) “refrain from ‘shutting out’ a person,” (2) “for reasons having no relation to legitimate transportation-related factors.” The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of OSRA 1998. All that is required is that common carriers ... refrain from “shutting out” any person for reasons having no relation to legitimate transportation-related factors. *New Orleans Stevedoring Co. v. Bd. Of Commissioners of the Port of New Orleans*, 29 S.R.R. 345, 351 (ALJ 2001), *affd*, 29 S.R.R. 1066, 1070 (FMC 2002). Once a carrier has considered a *bona fide* offer, the carrier’s rejection of the offer cannot be equated with a refusal to deal or negotiate. See *Seacon Terminals, Inc. v. Port of Seattle*, 26 S.R.R. 886 (1993). Here again, BBY seeks to improperly repurpose and reimagine existing provisions of the Shipping Act to regulate service contract terms and performance, when such claims are clearly outside the scope of the statute and controlling precedent.¹⁵

CONCLUSION

For the reasons stated above, Respondents respectfully request the Presiding Officer deny Complainant’s Motion for Partial Decision on the Pleadings in its entirety and grant such other relief as may be just and appropriate.

¹⁵ See also the Commission’s Supplemental notice of proposed rulemaking addressing the Definition of *Unreasonable Refusal To Deal or Negotiate With Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier*, 88 FR 38789 (June 14, 2023), in which the Commission confirms that 46 U.S.C. 41104(a)(10) applies only to refusals occurring “while the parties were still negotiating and attempting to reach a deal on service terms and conditions (negotiation stage).” If a refusal occurs at the execution stage, after the parties reached a deal or mutually agreed on service terms and conditions, only section 41104(a)(3) (the new provision added in OSRA 2022 addressing vessel space allocation), not 41104(a)(10), will apply.

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Respectfully submitted,



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